Solar after subsidies: the panel is solved, the paperwork isn't

Solar · as of October 2026 · a dated snapshot, not a forecast

With the credits winding down and modules near commodity prices, solar bankability now depends on who can prove compliance, deliver power at useful hours and get connected, not on the price of the panel.

THE SHORT VERSION

Solar won on cost years ago, and the module glut made the panel close to a rounding error. The federal credits are now a closing window: a safe-harbored book that runs to 2030, then a cliff. The margin now sits in three places: proving compliance to the credit buyer, delivering power in the hours an offtaker will pay for, and clearing permitting and interconnection faster than the next project. If you sell into solar, you are selling into one of those three problems, not a cheaper watt.

WHERE IT STANDS NOW

- **The start-of-construction deadline has passed.** Projects had to begin construction by July 4, 2026. A project that missed it has to be placed in service by December 31, 2027 to stay eligible (One Big Beautiful Bill Act; McGuireWoods). Safe-harbored projects can run to the end of 2030 (SEIA/Wood Mackenzie via pv magazine USA, September 10, 2026).
- **The 5% safe harbor came back late.** On June 6, 2026, the D.C. district court vacated IRS Notice 2025-42 (*Oregon Environmental Council v. IRS*). That restored the 5% cost safe harbor for large solar shortly before the deadline (Stoel Rives, June 10, 2026). One update reported no government appeal as of early September. Its appeal status was still unsettled in public reporting as of late October 2026.
- **FEOC rules apply, but only in interim form.** IRS Notice 2026-15 (February 12, 2026) set interim material-assistance rules for projects beginning construction after December 31, 2025. Treasury still intends to propose regulations and new safe-harbor tables, and I found no record that they have been issued yet.
- **The deadline rush is still landing.** The US installed 11.4 GWdc in Q2 2026, up 45% year over year, driven by utility-scale while residential fell. The report names permitting and interconnection as the binding constraints (SEIA/Wood Mackenzie, Q3 2026 Solar Market Insight, September 10, 2026).

WHAT IT MEANS IF YOU SELL INTO THIS

> **The question I'd want answered first: If your book still has to close after 2030, is your compliance file one a credit buyer would sign off on today?**

WHAT TO WATCH

- **December 4, 2026:** Section 232 price floors take effect. Do US module prices in SEIA/Wood Mackenzie's Q1 2027 Solar Market Insight (expected around March 2027) move toward the $0.38/W floor?
- **SEIA/Wood Mackenzie Q4 2026 Solar Market Insight (expected around December 2026):** Does contracted utility-scale volume hold up in the first full quarter after the July 4 deadline?

ACROSS ALL FOUR MARKETS WE TRACK

Across large loads, storage, solar and firm power, the binding constraint this year wasn't the technology or its cost. It was the rule that decides who gets paid, who pays, and whose date counts.

The full read, with dated posts and sources: **cortexmomentum.com/interconnect/threads/solar-after-subsidies**. To talk it through against your own decision, book a call at **cortexmomentum.com**.
Built from my published LinkedIn posts on this thread (April to October 2026), read against the filings and reporting cited above. Engagement is attention, not demand. Sources as of October 2026.